Reserve Bank of India
Master Direction - Credit Card and Debit Card - Issuance and Conduct Directions, 2022 (Updated as on April 2024)

Chapter I: Preliminary

1. Short title and commencement

These Directions shall be called the 'Reserve Bank of India (Credit Card and Debit Card - Issuance and Conduct) Directions, 2022'.

2. Applicability

These directions shall apply to all scheduled commercial banks, Regional Rural Banks, Local Area Banks, Small Finance Banks, Payments Banks, Urban Cooperative Banks, State Cooperative Banks, and Non-Banking Financial Companies (NBFCs).

3. Issue of Credit Cards

a) Card issuers shall independently assess the credit risk and should not encourage customers to avail credit beyond their repayment capacity.

b) The total credit limit sanctioned by a card issuer to a customer shall be assessed considering the customer's repayment capacity based on verified income and existing debt obligations.

c) Unsolicited credit cards shall not be issued.

d) Issuers shall verify the identity of the applicant as per KYC norms before issuing a credit card.

Chapter II: Card Operations

4. Interest Rates and Other Charges
   a) Interest rates charged on outstanding balances shall be transparently disclosed on the card member agreement and monthly statements.
   b) Changes in interest rates and charges shall be communicated to card holders at least one month prior to the effective date.
   c) Penal charges for late payment shall be reasonable and proportionate to the outstanding amount.

5. Billing
   a) The card issuer shall clearly indicate the 'Total Amount Due' and the 'Minimum Amount Due' in the monthly statement.
   b) The annualized interest rate charged on revolving credit shall be prominently displayed on the first page of the statement.
   c) A minimum of 15 days shall be given to the card holder to make the payment from the date of the statement.

6. Closure of Credit Card Account
   a) Credit card account shall be closed within 7 working days of receiving the request from the card holder, provided there are no outstanding dues.
   b) Any credit balance in the card account at the time of closure shall be refunded to the card holder within 7 working days.

7. Grievance Redressal
   a) All card issuers shall have a grievance redressal mechanism.
   b) Complaints shall be resolved within 30 days.
   c) If not resolved, the card holder may approach the Banking Ombudsman.

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